NVIDIA: the price depends on the duration of AI returns

NVIDIA Corporation (NASDAQ: NVDA) | Independent equity research | Information cutoff: 2026-11-07, 23:59 Beijing | 2026-11-06 Nasdaq historical close reference: USD 186.64 | Author's stance: cautious pending evidence of sustained returns

Investment Summary

The USD 186.64 share price rests on years of exceptional AI infrastructure returns after FY2028. Limited China access can help, but a lasting USD 10bn of genuinely additional China sales adds only about USD 1.85 per share under a favorable perpetual sensitivity. Closing the USD 41.23 gap between the FY2028-outlook sensitivity and the market reference by China sales alone would require roughly USD 223bn of recurring net new annual revenue—more than NVIDIA's FY2026 total sales. That extrapolation is not a forecast. It establishes the scale of the valuation question.

Our judgment: management's near-term supply outlook makes the USD 103.42 conservative stress too harsh as a central forecast. A more moderate analyst path assumes 55% FY2028 revenue growth, followed by 20%, 13%, 9%, 6% and 4% through FY2033. Its current DCF is about USD 158 per share, still below the reference price. A much stronger duration path can exceed USD 200, but requires FY2033 sales of about USD 1.46tn, more than three times the conservative path. The price debate therefore turns on customer utilization, accepted system orders, collections and NVIDIA's pricing power as capacity expands. These paths are analyst estimates under review.

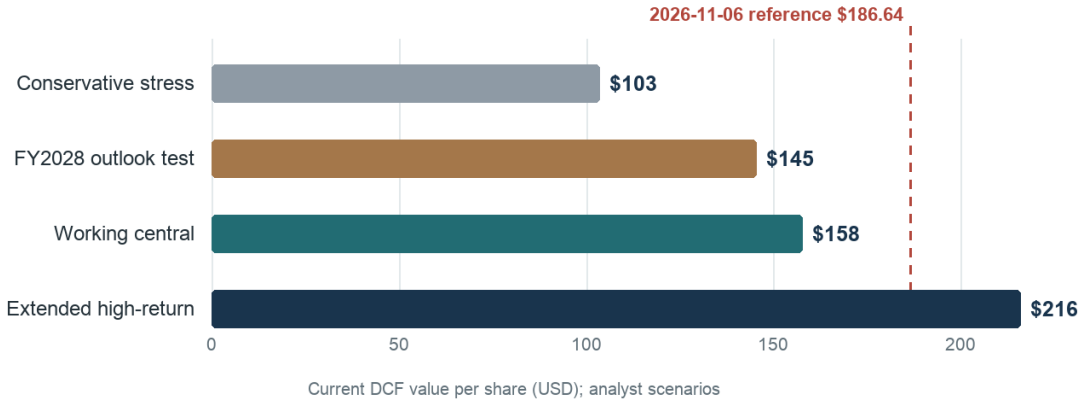


Exhibit 1. Current DCF values as of 2026-11-06 under four distinct operating paths. Red line: Nasdaq historical price reference. Scenario inputs are analyst estimates; FY2028 outlook test uses a preliminary issuer growth and margin benchmark for that year only.

The quote prices a demanding mix. The working central value is 15.5% below USD 186.64. With only Central and the extended high-return path, the quote is almost their midpoint. Giving the conservative path a 10% illustrative weight requires about 59% weight on extended high returns to reach the quote; at 20% conservative weight, the required high-return weight rises to about 68%. These are algebraic scenario weights, not measured probabilities. Our cautious stance reflects reluctance to assign that much weight to durable high margins before customer returns and cash collections are demonstrated.

Decision-relevant evidence	What it proves	What it does not prove
FY2027 H1 revenue USD 177.837bn and Q3 revenue guide USD 108bn ±2%	Strong recent growth and near-term delivery expectation	FY2029–FY2036 growth or customer returns
Preliminary FY2028 revenue-growth outlook ~70%, 72–73% gross margin	Management's supply-constrained planning benchmark	Contracted sales or an independent central case
July supply/capacity commitments USD 279bn	Preparations for much greater system output	Binding customer backlog or guaranteed cash conversion
Q2 China H200 shipments <1% of Data Center revenue	Limited near-term realized sales	China's long-run addressable value

Falsifiers. A sharp gap between Q3 delivery and guidance, a lower Q4/FY2028 outlook, rising days sales outstanding without collections, non-cancellable supply exposure, weak customer utilization, or sustained custom-accelerator substitution would reduce confidence in the growth-duration thesis. Conversely, accepted system orders, cash collection, supply expansion without margin erosion, and profitable networking attachment would support a longer high-return period. [S2–S4]

Business and Competitive Positioning

NVIDIA sells a compute platform rather than a standalone accelerator. GPUs, CPUs, networking, systems, software and developer tools can lower the time required to deploy a usable AI cluster. CUDA and model/tooling compatibility create switching costs where workloads are already optimized, while high-performance interconnects improve cluster utilization. This integration explains why revenue can be much more durable than a simple chip-unit extrapolation. It does not guarantee share: large customers can mix proprietary ASICs and rival accelerators, redesign networks, or shift workloads toward inference architectures with different economics. [S1–S2, S4, S17]

A further question is whether NVIDIA can earn returns on the capital and credit support now used to bring some customer capacity online. The question for valuation is **rent capture after supply normalizes**. If NVIDIA's software and system integration continue to raise customer throughput enough to offset the price premium, gross margin and incremental returns can remain high. If alternative stacks narrow the deployment gap, customers can recapture part of the economics even while total accelerator demand rises. AMD's reported Data Center revenue demonstrates a commercial rival but cannot, by itself, measure substitution against NVIDIA; customer-designed chips are similarly important without a disclosed, comparable revenue series. The report therefore tests revenue growth and margin separately instead of assuming that an expanding AI market ensures persistent NVIDIA share and pricing. [S17; analyst inference]

NVIDIA's pending USD 11.9bn Hugging Face acquisition may deepen developer distribution, although the agreement keeps that platform open to rival silicon; the transaction remains outside our operating forecast pending closing and acquired cash-flow evidence. [S25]

NVIDIA's July filing lists USD 279bn of supply and capacity commitments, up from USD 119bn in the prior quarter. Some agreements can still be cancelled or rescheduled before firm orders. It also lists USD 36bn of multi-year cloud-service commitments and USD 25bn of future equity-investment commitments; the company separately describes USD 99bn of equity investments already made. In August, NVIDIA guaranteed the **residual value** of SB Energy leases covering 4.25 GW of IT load at Ohio's PORTS campus. An affiliate of OpenAI Group PBC is the tenant. NVIDIA's initial cumulative payment cap is USD 105bn; with USD 3.5bn of other guarantees, disclosed maximum gross exposure is USD 108.5bn. Following a tenant default, any payment generally equals the shortfall between a guaranteed minimum lease value and proceeds from reletting or selling the site, subject to conditions and indemnities. [S2, S24, S26]

The supply commitments equal about USD 11.50 per estimated diluted share, or 6.2% of the implied USD 4.53tn equity market value; maximum gross guarantees equal USD 4.47 per share, or 2.4%. These are **scales of contractual exposure**, not current losses, balance-sheet debt or additive deductions from the DCF. A customer economics shock after commissioning could weaken new orders, collections and guarantee recoveries simultaneously. The filing gives neither a default probability nor an expected loss. That common driver is more consequential than the guarantee cap viewed on its own. [S2, S24; analyst calculations]

Global AI Infrastructure Outlook

Cloud spending validates the scale of the buildout but is not a GPU market-size shortcut. Microsoft, Alphabet, Amazon and Meta disclose capital plans using different fiscal periods, cash definitions and finance-lease treatments. Their figures include land, buildings, power, cooling, networking, servers and non-AI capacity. Addition across companies would overstate the addressable accelerator pool and could double-count supplier revenue embedded in

systems. The relevant chain is facility approval and power → capacity construction → architecture choice → accepted equipment order → shipment and acceptance → receivable and cash collection. [S13–S16]

Issuer statement available by cutoff	Stated plan	Period and definition warning
Microsoft FY2027 Q1 call	Approximately USD 170bn CapEx spend	Calendar 2026; reduced by third-party capacity delays; cash/lease composition requires a filing bridge
Alphabet Q3 2026 call	USD 195–205bn CapEx guidance	Calendar 2026; includes technical infrastructure beyond NVIDIA purchases
Amazon Q3 2026 release	Approximately USD 220bn cash capital expenditures	Calendar 2026, cash measure, company-wide
Meta Q3 2026 release	USD 135–145bn capital expenditures	Calendar 2026, including finance-lease principal

Portsmouth adds a credit test to the construction sequence. A grid delay before lease commencement can postpone system acceptance and the activation of a guarantee phase. Tenant failure after a site is operating would expose NVIDIA to a different combination of weaker future orders and a potential payment under the stated recovery terms. These pathways should be stressed together rather than counted as independent risks. [S2; S24–S26; analyst inference]

The customer evidence cuts both ways. Microsoft's reduced calendar-year spending reflects delayed third-party capacity, yet its call also described better utilization of its GPU fleet; Alphabet said it expected TPU system sales to scale. High capex and high cloud revenue can therefore coexist with a lower NVIDIA share per workload or a different timing of GPU procurement. None of the four plans is added into a NVIDIA revenue forecast. [S13–S16]

Link in demand conversion	Observable evidence	Principal failure mode	Model variable
Facility and power	Grid date, permit, MW, build schedule	Delay or regional relocation	Shipments by fiscal year
Architecture	GPU/ASIC decision, network bill of materials	Lower NVIDIA share or lower platform attachment	System ASP and Data Center mix
Supply and acceptance	HBM/packaging capacity, finished systems, acceptance	Revenue deferral, inventory and commitments	Growth, inventory days, margin
Customer economics	Utilization, pricing, billings and collection	Lower procurement or longer credit terms	Growth duration, DSO, FCFF

NVIDIA's finance chief offered a useful scale benchmark: one generation at the 4.25 GW IT-load PORTS site could yield USD 150–200bn of NVIDIA revenue, or roughly USD 35–47bn per GW. At a USD 40bn/GW midpoint, dividing company revenue by this benchmark gives the following **notional full-company content equivalents**. They are a way to test the physical ambition embedded in the forecast, never a count of new campuses built in one year. [S26; analyst calculations]

Revenue scale test	Total NVIDIA revenue	Equivalent at USD 40bn/GW	PORTS-sized equivalents
Management preliminary FY2028 outlook	USD 664bn	16.6 GW	3.9
Working central FY2033	USD 987bn	24.7 GW	5.8
Market-implied FY2036 conditional solve	USD 1.343tn	33.6 GW	7.9

The numerator includes gaming and other sales; the PORTS benchmark describes a particular full-stack system generation. Site buildouts, GPU deliveries and refreshes can occur in different years, while value per GW changes with product mix and pricing. IEA's 2025 base projection rises from 415 TWh of global data-centre electricity use in 2024 to roughly 945 TWh in 2030 and warns that grid connections may delay around 20% of planned capacity. Electricity use, facility load and IT nameplate are different units. A global capacity comparison would require utilization, power-usage-effectiveness and construction schedules that the sources here do not provide. The investable test is the volume of **powered, accepted, paid-for IT capacity** that NVIDIA can serve at these economics. [S26, S28]

Reported financials also test whether announced demand is converting. H1 FY2027 receivables grew USD 24.593bn from fiscal year-end to USD 63.059bn; inventory increased USD 10.172bn to USD 31.575bn. Management discussed roughly 60 days sales outstanding and extended terms for some investment-grade customers. Strong revenue and rising receivables can coexist in a fast-growing business, so the diagnostic is collections relative to accepted shipments over subsequent quarters, not a single quarter's ratio. [S2, S4]

U.S. Policy and Geopolitical Transmission

The 2026 midterm result is not a data-centre restriction. AP called control of both chambers for Democrats on 3–4 November; that is an election projection, not an enacted law or a measurement of NVIDIA orders. Pennsylvania's executed Executive Order 2026-05 on data-centre permit review was issued in August, and Texas's directive to halt relevant permit issuance pending an ERCOT audit in September. Both precede the vote and are state actions. Their existence supports project-level regulatory risk across parties, not a national post-election ban. [S7–S9]

Mechanism	Operational event	Revenue and FCFF treatment	Evidence required before model entry
Delay	Site or grid completion moves later	Cash flow shifts in time; later-year demand retained	Named site, capacity and revised schedule
Geographic displacement	A build moves to another state or customer	Potentially little global NVIDIA volume loss; mix and timing may change	Replacement site, buyer and procurement plan
Permanent destruction	Project capacity is cancelled or scaled down	Multi-year shipments and terminal economics may fall	Cancelled contract/order and no replacement demand

A stylized USD 10bn NVIDIA revenue tranche deferred one year at 25% FCFF conversion and the model's 10.2% discount rate loses about USD 0.008 per share of present value; cancellation of that single year's tranche loses about USD 0.091. A relocation with the same delivery date has no modeled volume loss. These are **timing and scale tests**, not forecasts of the Pennsylvania or Texas actions. Repeated cancellations or lower industry returns could matter much more. We assign no named policy shock without a project-to-procurement link. [S8–S9]

NVIDIA fell sharply on 5 November and recovered part of the move on 6 November. Policy headlines, company news and broad sector trading overlapped. Without intraday timestamps, a control basket and order evidence, the report cannot allocate the share-price move to the election. That discipline matters because a price reaction can change the required return without changing future EBITDA, while a cancelled project changes cash flows. These are different valuation channels. [S10; analyst inference]

China Market Access and Optical Supply Chain

The China paradox has two gates. Washington opened a conditional route for specified H200 licenses in January 2026; Beijing's restrictions have kept the licensed volume from becoming broad commercial sales. NVIDIA's July 2026 10-Q says limited H200 licenses were granted, Chinese restrictions impeded sales of all licensed units, and H200 shipments were less than 1% of the most recent quarter's Data Center revenue. It also reports U.S. inspection and a 25% tariff that NVIDIA was unable to pass through. The Reuters report of roughly 600,000 H200 chips in Hong Kong relies on anonymous sources and does not establish NVIDIA ownership, orders, revenue or delivery. [S2, S5–S6]

The China option has three separate dimensions. **Access** requires both governments' permission. **Incrementality** requires sales that do not merely divert scarce product from another region. **Duration** requires a repeatable position after Chinese customers invest in alternative accelerators and software. For each period, attributable revenue should be bounded by licensed units, approved orders and available supply, multiplied by NVIDIA's realized net selling price. Cash flow must then reflect customs/tariff basis, inspection, gross margin, receivables, tax, supply displacement and timing. This is why a one-off warehouse release cannot be capitalized as a perpetual reopening. [S2, S5; analyst framework]

Hypothetical USD 10bn net new annual China revenue	Economic convention	Approximate value/share	Meaning
One next-year sale	50% EBIT, 18% tax, 8% NOPAT reinvestment, 10.2% WACC	USD 0.14	No recurring tail
Five years, 2% annual growth	Same economics, then zero	USD 0.59	Finite access window
Perpetual from next year, 2% growth	25% terminal ROIC, thus 8% NOPAT reinvestment	USD 1.85	Consistent with core model terminal ROIC

The calculations use 6 November 2026 as the valuation date, 24.256bn estimated diluted shares, 10.2% WACC, 18% tax, and an illustrative **50% EBIT margin after any unpassed tariff** The perpetual case uses 2% growth and reinvests 2%/25% = 8% of after-tax operating profit. At a common sales and customs base, a 25% unpassed tariff would turn a 50% **pre-tariff**EBIT margin into 25% after tariff; under the same valuation formula the USD 1.85 result would fall to roughly USD 0.93 per share. The actual customs base, eligible products, net price and margin are unknown. A separate 50% supply displacement would likewise halve incremental revenue, provided the global base contains no duplicate China sales. These are local sensitivities, and stacking them requires a transaction-level bridge. [S2, S5; analyst calculations]

As a scale check, the USD 41.23/share gap between the FY2028-outlook sensitivity and the reference price would require about USD 223bn of **recurring net new China sales** if the favorable USD 1.85-per-USD-10bn relationship stayed linear. That exceeds NVIDIA's entire FY2026 company revenue of USD 215.938bn. Linear extrapolation at that scale is economically implausible: licensing, supply, competition and price would change. The arithmetic shows why a limited H200 reopening cannot carry the valuation argument by itself; it is not a China market forecast. [S1–S2; analyst calculation]

For Chinese optical suppliers, **overseas AI infrastructure spending is the immediate earnings channel**. InnoLight's FY2025 overseas revenue was RMB 34.64bn, 90.58% of total. A hypothetical 10% reduction would cut total revenue by 9.1% with domestic sales fixed; that is an exposure measure, not an order or earnings forecast. A decision in Beijing on H200 imports does not directly identify these overseas customer orders. Chinese accelerator deployment offers a separate domestic network opportunity. Product economics will depend on port counts, network architecture and whether value stays in 800G/1.6T pluggable modules or moves toward co-packaged optics and other components. The annual report establishes overseas exposure and product capability, without disclosing U.S. cloud or NVIDIA-specific sales. No Chinese security is valued here. [S21, S23]

Financial Performance and Earnings Quality

NVIDIA's fiscal year closes in late January; FY2027 is not calendar 2027. The FY2024–FY2026 figures below are audited actuals; H1 FY2027 is unaudited but filed. The dominant business fact is the scale of operating profit and cash generation. Revenue rose from USD 60.922bn in FY2024 to USD 215.938bn in FY2026 while operating margin stayed above 60% in the latter two years. The magnitude does not make the margin permanent. It raises the burden of proof for both a steep near-term collapse and an indefinite extrapolation. [S1–S2]

USD bn except percentages	FY2024 A	FY2025 A	FY2026 A	H1 FY2027 A
Revenue	60.922	130.497	215.938	177.837
Gross margin, calculated	72.7%	75.0%	71.1%	75.0%
Operating profit	32.972	81.453	130.387	117.270
Operating margin, calculated	54.1%	62.4%	60.4%	65.9%
Reported net income	29.760	72.880	120.067	118.010
Cash from operations	28.090	64.089	102.718	74.421

On the filing-based definition of operating cash flow less purchases of property, equipment and intangibles, cash FCF was USD 27.021bn, 60.853bn and 96.676bn in FY2024–FY2026, and USD 69.987bn in H1 FY2027. NVIDIA's

earnings release additionally deducts USD 0.092bn of principal payments on property and intangibles, reporting **USD 69.895bn H1 FCF**. H1 GAAP net income of USD 118.010bn includes USD 23.707bn of equity-security gains. NVIDIA's own reconciled **non-GAAP net income is USD 99.502bn**, including stock-based compensation expense under its FY2027 policy. H1 operating cash flow of USD 74.421bn equals **74.8% of that non-GAAP income**. The ratio is a collection warning, not proof of an impairment: extended customer terms and a fast inventory build may unwind as systems are paid for. Follow receivable aging and inventory turns as the next quarters arrive. [S2, S26–S27]

Working capital deserves separate scrutiny. Accounts receivable rose USD 24.593bn and inventory USD 10.172bn during H1 FY2027. Revenue recognized on extended customer terms can be economically sound if collections arrive and capacity is used; the same terms become problematic if demand or customer financing weakens. Follow DSO, inventory days, payables and write-downs alongside revenue rather than treating operating profit as a complete earnings-quality test. The USD 279bn supply commitments create a wider distribution of outcomes: they protect delivery when demand holds, but can increase costs if architecture changes or customers defer purchases. Commitments are not all immediate liabilities, and some remain adjustable. [S2, Note 10]

Two classification issues matter for the forecast. The FY2026 USD 193.737bn Data Center figure is an **end-market** disclosure, while filed FY2027 H1 USD 164.269bn uses the new **market-platform** presentation with recast comparatives. A direct ratio across those definitions would misstate growth; our FY2028 comparison therefore uses total-company revenue. Geographic revenue follows **direct-customer headquarters**, not the location where GPUs run. NVIDIA does not separately disclose China Data Center compute revenue, so we do not infer it from geographic sales. [S1–S2]

Forecast and Valuation

The FY2027 bridge starts with H1 actuals, Q3 guidance and an analyst Q4 estimate. At the Q3 midpoint and USD 105bn Q4 assumption, revenue reaches USD 390.837bn. Q4 sits below Q3's midpoint, although management expects hyperscaler growth to accelerate. The 71% Q4 gross-margin assumption is at the low end of management's 71–72% expectation as memory costs peak. Q4 figures remain estimates. [S3–S4]

FY2027 revenue bridge, USD bn	H1 filed actual	Q3 issuer guide midpoint, modeled	Q4 analyst estimate	FY2027 estimate
Revenue	177.837	108.000	105.000	390.837

Our working central path assumes FY2028 growth of 55%, below management's preliminary ~70% outlook but well above the 19.1% conservative stress. It allows another strong systems ramp while reserving room for power, memory, financing and customer deployment constraints. Growth then slows to 20% in FY2029, 13% in FY2030 and 4% by FY2033. Gross margin falls from 72% in FY2028 to 60% in FY2033 as supply broadens and customers gain architectural choices. These are explicit analyst judgments, not a consensus series or disclosed orders. The key supporting test is whether customers earn enough on installed systems to renew purchases at NVIDIA's assumed prices. [S2–S4, S13–S17]

Working central path, USD bn unless shown	FY2026 A	FY2027 E	FY2028 E	FY2029 E
Revenue	215.9	390.8	605.8	727.0
Gross margin	71.1%	73.6%	72.0%	69.0%
EBIT	130.4	252.8	374.4	427.5
Unlevered FCFF	—	H2 only 104.1	271.6	323.9
Diluted EPS, USD	4.90	9.50	12.71	14.59

Continuation, same units	FY2030 E	FY2031 E	FY2032 E	FY2033 E
Revenue	821.5	895.4	949.1	987.1
Gross margin	66.0%	64.0%	62.0%	60.0%
EBIT	455.9	477.2	485.1	483.7
Unlevered FCFF	347.1	368.7	376.7	377.0
Diluted EPS, USD	15.66	16.50	16.89	16.98

FY2026 is filed actual. FY2027 E combines six months of filed actuals, the Q3 issuer-guidance midpoint and a Q4 analyst estimate. FY2027 EPS includes the H1 equity-security gain, so the reader should not use it as a normalized forward-multiple denominator. The FY2027 FCFF entry covers **H2 only**; the first discounted period takes estimated cash flow after 6 November. Later FCFF entries cover full fiscal years. Forecast growth and margin come from the working case controls; the report's sources do not establish precise customer orders for those years.

Comparable operating paths	FY2028 revenue	FY2033 revenue	Current DCF/share	Separate 12-month roll/share
Conservative stress	USD 465bn	USD 617bn	USD 103	USD 113
Working central	USD 606bn	USD 987bn	USD 158	USD 173
Extended high-return path	USD 606bn	USD 1.459tn	USD 216	USD 238

The paths hold the valuation date, WACC and opening net-asset convention constant while varying operating duration. The FY2028 management-outlook test changes just that year's growth and margin against the conservative continuation and yields USD 145.41 per share. The working central path carries higher growth after FY2028. Its twelve-month figure is a separately dated roll; the November 2026 quote is the comparison for current values. The high-return case tests the upper end of sustained demand. [S4; analyst model]

The 6 November Treasury ten-year yield was 4.86%. The model then assumes a 4.5% equity risk premium, 1.2 levered beta, 5.5% pre-tax debt cost, 18% marginal cash-tax rate and a 99% equity capital weight. These inputs produce a 10.2% WACC. The Treasury yield is dated market evidence; beta, premium, debt spread and target capital weights are analyst choices. A one-point higher equity premium lowers the conservative stress value to roughly USD 91.39 per share, while a one-point lower premium raises it to about USD 119.46. This is a valuation sensitivity, not a confidence interval. [S11]

The DCF begins after the 6 November regular-session close. It removes estimated earlier FY2027 cash flow, discounts the remaining FY2027 stub, models FY2028–FY2033 in detail, then fades growth and returns through FY2036 before a terminal year. The working central path reaches a 49% EBIT margin in FY2033 and 44% in FY2036, with a 25% terminal incremental return on capital. These are demanding assumptions even with falling margins. GAAP EBIT already includes stock compensation; the DCF does not deduct that expense again. Estimated diluted shares incorporate awards and buybacks separately. Cash, securities, debt and shares are rolled forward from the July filing to the valuation date. The pending Hugging Face transaction and contingent guarantee payout have no assigned synergy or expected loss in this cash-flow path. Separate deal and credit cases would need the closing and payment dates, acquired earnings, default likelihood and recovery evidence. [S24–S25]

Current DCF/share, USD; later operating path ↓	FY2028 +40%	FY2028 +55%	FY2028 +70%
Conservative continuation	121	133	145
Central continuation	143	158	172
Long-duration continuation	195	216	237

All nine cells assume a 72% FY2028 gross margin, common 6 November valuation date, 10.2% WACC, opening net assets and estimated diluted shares. Every Long-duration cell exceeds the USD 186.64 reference. The 70%/Conservative cell is USD 145.31, slightly below the separate USD 145.41 FY2028-outlook test because that test uses 72.5% gross margin. The matrix makes the investment judgment visible: **even 70% FY2028 growth with**

Central continuation falls short of today's price, while 40% FY2028 growth with Long-duration continuation exceeds it. Duration of customer returns is the larger swing factor within these specified paths. [S4; analyst model]

The working central bridge is about USD 3.752tn of operating enterprise value plus an estimated USD 71.593bn of cash and marketable debt securities net of debt, divided by 24.25648bn estimated diluted shares: USD 157.63/share. Terminal value contributes 47.7% of operating EV in this path, compared with 45.3% in Conservative. The net-asset figure rolls July balances to November; it excludes USD 42.783bn of marketable equity securities and USD 51.157bn of nonmarketable holdings pending realization and tax analysis. Gross inclusion of the marketable portfolio adds about USD 1.76/share before tax or liquidity adjustments. The diluted denominator begins with a rounded 24.1bn basic count dated 21 August, models buybacks and award issuance to 6 November, then adds an estimated 185m existing-award uplift. The central path's separate twelve-month roll is USD 173.28/share. Its three-statement forecast also leaves more than USD 2tn of cash by FY2033 because modeled buybacks and investments consume little projected cash. Future FCFF is already discounted, so this balance is not added a second time to DCF. The capital-allocation assumption needs further scrutiny. [S2; analyst model]

Discount-rate uncertainty is at least as consequential as a small revision to terminal growth. Holding the stress operating path fixed, a one-point change in the assumed equity risk premium moves current value to approximately USD 91.39 or USD 119.46 per share, depending on direction. Moving terminal growth from 2.0% to 1.5% or 2.5%, with reinvestment recalculated as growth divided by 25% terminal ROIC, produces USD 101.70 or USD 105.38. These are one-variable probes, not confidence intervals; the cost of equity, growth and reinvestment could move together in reality. [Model]

The reverse DCF solves FY2029–FY2036 revenue growth or operating margin required to match the share price, with tax and reinvestment stated. It reports the resulting cash flow and return on capital. A forward earnings multiple without a matched peer set and consistent earnings basis would add false precision, so we give it no weight in the conclusion. [Model]

At USD 186.64, the model's estimated shares and net assets imply operating enterprise value near USD 4.456tn, about USD 2.019tn above conservative stress. Holding FY2027–FY2028 and later margin, tax and reinvestment assumptions fixed, the reverse DCF needs **about 10.9 extra percentage points of annual revenue growth** in each FY2029–FY2036 year. FY2036 revenue reaches USD 1.498tn and FCFF roughly USD 497bn. Trying to close the same gap through margins alone would require an about 87% FY2036 EBIT margin—well above NVIDIA's reported 65.9% H1 FY2027 margin. This makes growth duration the more informative test. [Model]

Even after adopting management's preliminary FY2028 growth and 72.5% gross-margin outlook, retaining the later conservative economics requires about **4.6 additional percentage points of annual FY2029–FY2036 growth** to reach the reference price. This conditional root implies FY2036 revenue USD 1.343tn, EBIT margin 44% and FCFF USD 446bn, with 25% terminal ROIC. Different delivery, pricing, discount rates or reinvestment could produce the same price. The solve identifies the duration demanded by this particular set of unit economics. [Analyst calculations]

The two roots make a practical research test. The stress-FY2028 path would need FY2036 sales more than triple its FY2028 level; the issuer-outlook path would need them roughly double. To defend either, an analyst should trace incremental revenue to deliverable systems and customers, then show what the customer earns on those systems and how much NVIDIA retains after competitive pricing and capital reinvestment. Large cloud budgets establish an intention to spend, but not those unit economics. A revenue solve that ignores the corresponding cash and margin test would overstate the quality of the implied growth. [S2–S4, S13–S16]

The high-return trial reaches USD 215.87 per share by sustaining faster growth beyond FY2028; the working central path reaches USD 157.63. At USD 186.64, the market reference lies between them. The gap is an invitation to test renewal demand and cash economics, not a reason to interpolate mechanically. We need evidence of customer returns and repeated procurement before assigning a high weight to the extended path. [Analyst model]

Catalysts Risks and Counter Thesis

The case against our cautious stance is substantial. Management's preliminary ~70% FY2028 growth expectation is supply-constrained, and it expects 72–73% gross margin after the Q4 FY2027 cost trough. If customers repeatedly accept and pay for systems as capacity expands, our working central path may fade too quickly. The opposing risk is that cloud budgets fail to become accepted NVIDIA orders, while HBM costs, rival architectures, power availability and credit terms erode delivered revenue and cash conversion. Our decision turns on that transition from FY2028 visibility to subsequent customer returns. [S2–S4, S12–S17]

Monitoring signal	Author's screening threshold	Direction of interpretation
Q3 FY2027 revenue on 17 Nov	Above USD 110.2bn / within USD 105.8–110.2bn guide range / below USD 105.8bn	Strong delivery / in range / stress path gains weight
Preliminary FY2028 outlook	Reaffirm ~70% / cut below 55%	Extended duration gains plausibility / working central requires downward revision
Q4 gross-margin outlook	Above 72% / below 71%	Better pricing and mix / cost pressure versus issuer expectation
Days sales outstanding	Around disclosed ~60 days / above 65 with no subsequent collection	Stable credit conversion / investigate receivable quality
China approvals	Import-approved, delivered and collected volume / continuing restriction	Model only net-new after-tariff China cash flow / keep China option near zero
U.S. projects	Named cancellation with no replacement procurement	Move from timing case to permanent-demand case

The cutoffs are **analyst monitoring rules**, not company guidance except for the Q3 revenue range and Q4 margin expectation. One quarter outside a threshold changes the investigation; it does not mechanically assign a scenario probability. The operating path should update only after reconciling shipment acceptance, customer financing and the next revenue guide. [S2–S4; analyst judgment]

The same headline can affect price through a higher risk premium before it affects a single order. Our WACC and terminal sensitivities therefore vary the economic reinvestment required by growth, rather than moving terminal growth in isolation. A permit hold first changes the calendar of project completion; a cancelled procurement changes the cash-flow path. That distinction should discipline how any election-related selloff is interpreted. [S8–S11]

Conclusion and Disclosures

NVIDIA's near-term delivery outlook is unusually strong, but the share price chiefly tests the return on capital and cash conversion that follow. China access has strategic value only when two approvals lead to profitable, additional, repeatable sales. A stockpile estimate cannot supply those inputs. State permitting risk matters when it reaches an identifiable procurement decision, while Chinese optical suppliers' overseas and domestic channels need separate demand evidence. These are the facts that would change the valuation path. [S2–S9, S21, S23]

Investment stance at the reference price: cautious. The working central path recognizes management's near-term supply visibility yet yields a current value below USD 186.64. The market can be defended only if customers keep building and paying for AI systems at returns that allow NVIDIA to preserve strong prices well beyond FY2028. Accepted orders, utilization, collections and gross margins would make us more constructive; commitments outrunning deployment or falling realized platform prices would deepen our caution. The Q3 release scheduled for 17 November, after this study's cutoff, is the next test. The cash allocation forecast and native Excel recalculation remain open, so this is an author's research stance, not a signed rating or target. [S24–S25]

Conflict disclosure. The author states that, as of 8 November 2026, they hold no NVDA shares or related derivatives and have no financial relationship with NVIDIA requiring disclosure. This is an independent portfolio research demonstration, not commissioned company research. No claim is made about employer or institutional endorsement. [Author declaration]

Appendix Sources and method

Source key. Document references in the text resolve to the primary sources below. Dates and locator details are also searchable in the accompanying Source and Evidence Register. Issuer outlooks are not historical actuals; model estimates are not filed facts.

S1 NVIDIA FY2026 10-K (2026-02-25). Financial statements; Data Center end-market table.

S2 NVIDIA FY2027 Q2 10-Q (2026-08-26). Statements; Notes 10/13; Risk Factors.

S3 NVIDIA Q2 FY2027 earnings release (2026-08-26). Outlook section.

S4 NVIDIA Q2 FY2027 earnings-call transcript (2026-08-26). pp. 3, 7–8.

S5 H200 advanced-computing licensing final rule (2026-01-15). Federal Register 91 FR 1684.

S6 Reuters Hong Kong H200 report (2026-11-05). Anonymous-source stockpile; attribution to The Information.

S7 AP congressional control calls (2026-11-05). Race-call chronology.

S8 Pennsylvania Executive Order 2026-05 (2026-08-18). Executed order.

S9 Texas data-centre permit directive (2026-09-21). Governor directive.

S10 Nasdaq historical NVDA quote (2026-11-06). API Close/Last row; timestamped raw response archived locally.

S11 US Treasury daily yield curve (2026-11-06). 10-year par yield 4.86%.

S12 Energy and AI (2025-04-10). Executive summary; power/grid sections.

S13 Microsoft FY2027 Q1 call (2026-10-28). Transcript capital expenditures section.

S14 Alphabet Q3 2026 call (2026-10-28). Transcript p. 12.

S15 Amazon Q3 2026 results (2026-10-29). Fourth-quarter guidance.

S16 Meta Q3 2026 results (2026-10-28). CFO outlook commentary.

S17 AMD Q3 2026 results (2026-11-03). Data Center revenue; GAAP margin.

S21 InnoLight FY2025 annual report (2026-03-31). pp. 11, 24–25.

S22 NVIDIA Q3 FY2027 conference-call announcement (2026-10-28). Announcement body.

S23 NVIDIA Spectrum-X/Quantum-X Photonics announcement (2025-03-18). Release body.

S24 NVIDIA SB Energy PORTS guarantees 8-K (2026-08-17). Item 1.01; compare FY2027 Q2 10-Q Note 10 and MD&A.

S25 NVIDIA proposed Hugging Face acquisition 8-K (2026-09-03). Item 8.01, paragraphs 1–4 and acquisition risk factor.

S26 NVIDIA FY2027 Q2 CFO Commentary (2026-08-26). PORTS guarantees and per-generation revenue; customer terms and DSO.

S27 NVIDIA FY2027 Q2 Earnings Release (2026-08-26). Non-GAAP reconciliation and free cash flow table.

S28 IEA Energy and AI (2025-04-10). Executive summary; AI and energy security.

Analyst model. Working valuation workbook, formula tests, forecast cash-flow schedule, reverse-DCF solve and scenario comparison. Calculated after the information cutoff using only information available by that date.

Method and limitations

Fiscal years end in late January. FY2027 H1 comprises the first two reported fiscal quarters ended 26 July 2026. Q3 guidance and all later years are not actuals.

Cash FCF in the historical table is operating cash flow less purchases of property, equipment and intangibles. DCF uses unlevered FCFF after operating tax, depreciation, capital expenditure and changes in operating working capital; the two should not be equated.

The DCF uses actual/365 time from 6 November 2026 after the regular-session close. July-to-November net assets, pre-close FCFF, diluted shares, WACC components and all forecast drivers are analyst estimates.

The model identity checks and selected LibreOffice recalc parity passed. Native Microsoft Excel full recalculation, capital-allocation review, matched forward P/E peers and price-field designation remain open. The working central path is an analyst estimate.

Policy illustrations and China option sensitivities are hypothetical and are not amounts tied to disclosed NVIDIA orders. The author will update the historical study only in a separately dated version after later events.

AI tools assisted organization, drafting and model construction. The author takes responsibility for the thesis, calculations and disclosures. The 2026-11-08 conflict declaration does not alter the 2026-11-07 historical information cutoff.